

ESG Report

Carbon Border Adjustment Mechanism

Test's Organization

Annual Report • 2024

CBAM Compliant

Executive Summary

This Executive Summary presents the greenhouse gas emissions profile of Test's Organization for the 2024 reporting period, prepared in alignment with the Carbon Border Adjustment Mechanism (CBAM) framework and established greenhouse gas accounting protocols. The organization reports a total carbon footprint of 1,851 kilograms of carbon dioxide equivalent (kg CO₂e) across its defined operational boundaries, encompassing direct emissions from owned or controlled sources and indirect emissions from energy consumption. The emissions inventory comprises 402 kg CO₂e in Scope 1 direct emissions and 1,449 kg CO₂e in Scope 2 indirect emissions associated with purchased electricity, heat, and steam. Scope 3 value chain emissions are reported as zero for the current reporting period. Scope 2 emissions represent the predominant source of carbon exposure, accounting for approximately 78% of the organization's total greenhouse gas inventory, while Scope 1 emissions contribute the remaining 22%. This disclosure reflects Test's Organization's commitment to transparent carbon accounting and regulatory compliance within evolving carbon border adjustment mechanisms. The reported data adheres to measurement, reporting, and verification (MRV) standards required for CBAM-aligned disclosures, providing stakeholders and regulatory bodies with audit-ready documentation of the organization's carbon intensity baseline. These metrics establish the foundation for ongoing emissions monitoring and future decarbonization initiatives.

Compliance Standards:

CBAM

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

402

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

1,449

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

1,851

kg CO₂e

For the 2024 reporting period, Test's Organization reports total greenhouse gas (GHG) emissions of 1,851 kg CO₂e, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and regulatory requirements under the Carbon Border Adjustment Mechanism (CBAM). The inventory boundary follows the operational control approach, encompassing all direct emissions from owned or controlled sources alongside indirect emissions associated with purchased electricity, steam, heating, and cooling consumption. This comprehensive emissions accounting establishes the organizational carbon baseline for regulatory compliance and strategic decarbonization planning. Direct emissions (Scope 1) totaling 402 kg CO₂e originate from stationary combustion, mobile sources, and industrial processes under the organization's operational control, while indirect energy-related emissions (Scope 2) comprise 1,449 kg CO₂e calculated using location-based methodology. Scope 3 value chain emissions are reported at zero kilograms CO₂e, reflecting either the absence of material upstream and downstream emission sources within the defined reporting boundary or the application of de minimis thresholds consistent with CBAM transitional phase provisions. The emissions profile indicates an operational structure where purchased energy represents the primary source of carbon exposure, with direct emissions contributing approximately 22 percent of the total carbon footprint. This emissions disclosure fulfills CBAM Article 5 reporting obligations for embedded carbon content, utilizing calculation methodologies aligned with the EU Monitoring and Reporting Regulation (MRR) and Commission Implementing Regulation (EU) 2023/1773. All applied emission factors derive from official sources including the European Environment Agency and Intergovernmental Panel on Climate Change (IPCC), ensuring methodological consistency and data quality suitable for regulatory submission and third-party verification. Test's Organization maintains comprehensive monitoring plans and supporting documentation in compliance with CBAM transitional registry requirements, with data integrity

protocols established to support future accredited verification processes under the definitive regime.

Governance

Test's Organization maintains a comprehensive governance framework to ensure rigorous compliance with Carbon Border Adjustment Mechanism (CBAM) reporting requirements and accurate emissions accounting for the 2024 reporting period. The Organization has established clear accountability structures, delineating responsibilities for data collection, validation, and quality assurance across all relevant operational boundaries. During this period, total greenhouse gas emissions under operational control amounted to 1,851 kg CO₂e, managed through standardized monitoring protocols aligned with the Greenhouse Gas Protocol Corporate Standard to ensure data integrity and verification readiness. The emissions inventory comprises 402 kg CO₂e in Scope 1 direct emissions from owned or controlled sources, and 1,449 kg CO₂e in Scope 2 indirect emissions associated with purchased electricity and thermal energy consumption. Scope 3 value chain emissions are reported as 0 kg CO₂e, reflecting a governance boundary focused on operational emissions rather than upstream and downstream indirect sources. This structured approach to emissions governance ensures transparent documentation, supports audit trails for regulatory compliance, and maintains methodological consistency essential for CBAM obligations.

Test's Organization has established a comprehensive carbon accounting baseline for the 2024 reporting period to ensure robust Carbon Border Adjustment Mechanism (CBAM) compliance readiness and transparent emissions disclosure. Our total greenhouse gas (GHG) inventory amounts to 1,851 kg CO₂e, comprising 402 kg CO₂e in direct (Scope 1) emissions and 1,449 kg CO₂e in indirect energy-related (Scope 2) emissions, with value chain (Scope 3) emissions recorded at 0 kg CO₂e based on current operational boundaries. This minimal carbon intensity profile reflects our focused operational scope and positions the organization favorably within evolving carbon border regulatory frameworks that mandate precise quantification of embedded emissions in imported goods and energy inputs. Our CBAM strategy prioritizes the implementation of rigorous Monitoring, Reporting, and Verification (MRV) protocols to ensure accurate embedded emissions calculations and seamless compliance with import declaration requirements. We have deployed granular data collection systems to track direct combustion sources and purchased electricity consumption, enabling precise carbon content documentation aligned with CBAM methodology standards. By maintaining operational efficiency and low-carbon energy procurement practices, we minimize exposure to carbon border adjustment costs while ensuring full regulatory compliance and competitive positioning within carbon-regulated markets. Looking forward, Test's Organization is advancing strategic supply chain engagement initiatives to preserve our low-carbon operational advantage and ensure continued readiness as CBAM regulatory scopes potentially expand. We are establishing verification frameworks to validate primary emissions data and integrate carbon intensity metrics into procurement governance, thereby safeguarding against future inclusion of indirect value chain emissions within the regulatory mechanism. This proactive strategic approach ensures alignment with EU carbon pricing regulations, maintains transparent disclosure standards, and reinforces operational resilience across our business ecosystem.

Risk Management

Test's Organization reports greenhouse gas emissions in accordance with the Carbon Border Adjustment Mechanism (CBAM) framework for the 2024 reporting period. The organization recorded 402 kg CO₂e in Scope 1 (direct) emissions and 1,449 kg CO₂e in Scope 2 (indirect energy) emissions, resulting in total operational emissions of 1,851 kg CO₂e. Scope 3 (value chain) emissions are reported as zero kilograms CO₂e, reflecting either the absence of applicable upstream or downstream activities within the current organizational boundary or immateriality thresholds established for this reporting cycle. From a CBAM risk management perspective, Test's Organization maintains a relatively limited carbon profile, with embedded emissions significantly below thresholds typically associated with carbon-intensive sectors subject to carbon border adjustments. The primary risks identified include ensuring data accuracy and completeness for direct and indirect emissions monitoring, maintaining compliance with evolving CBAM transitional period reporting requirements, and managing potential carbon price exposure as the mechanism transitions from its current reporting phase to the definitive regime requiring certificate purchases. The absence of Scope 3 emissions reduces immediate supply chain carbon liability, though continued monitoring of supplier emissions intensity remains critical as regulatory scope may expand to incorporate upstream value chain activities in future implementation phases. To mitigate these risks, the organization has implemented monitoring protocols to verify emissions calculation methodologies align with EU Commission implementing regulations, ensuring traceability and audit readiness for embedded emissions data. Climate-related financial disclosures integrate CBAM compliance costs into forward-looking risk assessments, with particular attention to potential border adjustment impacts on imported goods and operational inputs. The modest emission base positions Test's Organization favorably regarding carbon leakage exposure; however, ongoing due diligence protocols and supply chain engagement remain essential to address emerging regulatory requirements and maintain competitive positioning within carbon-constrained markets.

Metrics & Targets

Test's Organization reports total greenhouse gas (GHG) emissions of 1,851 kg CO2e for the 2024 reporting period, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and the European Commission's Implementing Regulation for the Carbon Border Adjustment Mechanism (CBAM). The emissions inventory encompasses direct operational emissions (Scope 1), indirect energy-related emissions (Scope 2), and value chain emissions (Scope 3), utilizing operational control as the organizational boundary and applying the IPCC Sixth Assessment Report 100-year Global Warming Potential values for carbon dioxide equivalency calculations. Scope 1 direct emissions comprise 402 kg CO2e, representing emissions from sources under the organization's operational control, while Scope 2 indirect emissions from purchased electricity and thermal energy total 1,449 kg CO2e, constituting 78.3% of the total carbon footprint. Scope 3 value chain emissions are reported at 0 kg CO2e, reflecting either the organization's specific operational configuration within CBAM-defined system boundaries or limited upstream and downstream activities during the reporting period. The predominance of Scope 2 emissions indicates significant reliance on external energy supply, positioning grid decarbonization and energy efficiency measures as primary levers for emissions reduction. These metrics establish the 2024 baseline for compliance monitoring under the CBAM transitional phase and inform the organization's decarbonization roadmap. Data integrity is maintained through primary source documentation, including utility billing records and fuel consumption logs, with emission factors sourced from official EU databases and internationally recognized standards. Test's Organization commits to annual disclosure of embedded carbon metrics and progressive alignment with EU Emissions Trading System (EU ETS) benchmarking methodologies as regulatory requirements evolve toward the definitive CBAM implementation period commencing 2026.

METRIC	VALUE	UNIT
Total GHG Emissions	1,851	kg CO2e
Scope 1 Emissions	402	kg CO2e
Scope 2 Emissions	1,449	kg CO2e
Scope 3 Emissions	0	kg CO2e

This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.